infusion in BSNL and Rs 6295 crore for MTNL. A further provision was made for making ex-gratia payment to voluntary retiring employees of BSNL/MTNL of Rs 9860 crore and Rs 3295 crore. The government also provided for Rs 2541 crore and Rs 1133 crore as grant-in-aid to BSNL and MTNL, respectively, for payment of GST on 4G licences.

Private telecom companies are getting crushed under the weight of AGR-related demands and public-sector telecom companies are crushing the government under the weight of their accumulated losses and infructuous investments. There is virtually no likelihood of these two companies garnering even one-tenth of the share of the telecom market. They are terminally ill and will eventually have to be put to rest.

The only justification offered publicly by the government for such a massive revival package is that these two companies are ‘strategic’. No more details have been provided about what strategic interest these two companies serve and why and how such a mammoth revival package will serve this strategic interest. If providing secure lines of communications to government officials is the strategic interest in mind, there are surely better technical solutions to ensure this at a fraction of the cost of proposed investment.

A significant part of the revival package is to be funded from sale of land and building assets of BSNL and MTNL. The government’s track record of selling land is dismal. It was quite unlikely that BSNL and MTNL’s land and buildings would get sold and this has been proven by the experience of the past fifteen months. BSNL and MTNL have not been able to sell any piece of land. These companies have gone back to the government citing low valuations being offered for their lands and buildings. The same has been the experience elsewhere. The recapitalization package of PSBs had a component of sale of non-core assets, like asset management companies and housing loan companies. Despite three years